

4-5a Step 1. Analyzing and Recording Transactions in the Journal

The first step in the accounting cycle is to analyze and record transactions in the journal using the double-entry accounting system. As illustrated in [Chapter 2](#), transactions are analyzed and journalized as follows:

Step 1.

Carefully read the description of the transaction to determine whether an asset, liability, common stock, retained earnings, dividends, revenue, or expense account is affected.

Step 2.

For each account affected by the transaction, determine whether the account increases or decreases.

Step 3.

Determine whether each increase or decrease should be recorded as a debit or a credit, following the rules of debit and credit shown in [Exhibit 3](#) of [Chapter 2](#).

Step 4.

Record the transaction using a journal entry.

The company's chart of accounts is useful in determining which accounts are affected by the transaction. The chart of accounts for Kelly Consulting is shown in [Exhibit 9](#).

Chart of Accounts for Kelly Consulting

11	Cash	31	Common Stock
12	Accounts Receivable	32	Retained Earnings
14	Supplies	33	Dividends
15	Prepaid Rent	41	Fees Earned
16	Prepaid Insurance	51	Salary Expense
18	Office Equipment	52	Rent Expense
19	Accumulated Depreciation	53	Supplies Expense
21	Accounts Payable	54	Depreciation Expense
22	Salaries Payable	55	Insurance Expense
23	Unearned Fees	59	Miscellaneous Expense

After analyzing each of Kelly Consulting's transactions for April, the journal entries are recorded as shown in [Exhibit 10](#).

Exhibit 10

Journal Entries for April, Kelly Consulting

Journal

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Date	Description	Post.Ref.	Debit	Credit
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20Y8

Date	Description	Post.Ref.	Debit	Credit
Apr. 1	Cash	11	13,100	
	Accounts Receivable	12	3,000	
	Supplies	14	1,400	
	Office Equipment	18	12,500	
	Common Stock	31		30,000
1	Prepaid Rent	15	4,800	
	Cash	11		4,800
2	Prepaid Insurance	16	1,800	
	Cash	11		1,800
4	Cash	11	5,000	
	Unearned Fees	23		5,000
5	Office Equipment	18	2,000	
	Accounts Payable	21		2,000
6	Cash	11	1,800	
	Accounts Receivable	12		1,800
10	Miscellaneous Expense	59	120	
	Cash	11		120
12	Accounts Payable	21	1,200	
	Cash	11		1,200
12	Accounts Receivable	12	4,200	
	Fees Earned	41		4,200

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Date	Description	Post.Ref.	Debit	Credit
14	Salary Expense	51	750	
	Cash	11		750

Journal**Page 2**

Date	Description	Post.Ref.	Debit	Credit
20Y8				
Apr. 17	Cash	11	6,250	
	Fees Earned	41		6,250
18	Supplies	14	800	
	Cash	11		800
20	Accounts Receivable	12	2,100	
	Fees Earned	41		2,100
24	Cash	11	3,850	
	Fees Earned	41		3,850
26	Cash	11	5,600	
	Accounts Receivable	12		5,600
27	Salary Expense	51	750	
	Cash	11		750
29	Miscellaneous Expense	59	130	
	Cash	11		130
30	Miscellaneous Expense	59	200	
	Cash	11		200

Journal			Page 1	
Date	Description	Post.Ref.	Debit	Credit
30	Cash	11	3,050	
	Fees Earned	41		3,050
30	Accounts Receivable	12	1,500	
	Fees Earned	41		1,500
30	Dividends	33	6,000	
	Cash	11		6,000

Chapter 4: The Accounting Cycle: 4-5a Step 1. Analyzing and Recording Transactions in the Journal

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